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The impact of corporate governance on corporate social performance: Cases from listed firms in Taiwan

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ABSTRACT

From the perspective of the agency problem, we explore how corporate governance affects corporate social performance (CSR performance) with a special focus on the role of inside and outside block shareholders. The empirical results from listed firms in Taiwan show that controlling owners having entrenched control, as manifested in CEO/chairman duality and family control, are less inclined to engage in CSR. Moreover, inside block shareholders (including large shareholders and directors) with higher shareholding are also less motivated to engage in CSR. By contrast, outside block holders, including foreign institutional shareholders and domestic institutional shareholders, enhance monitoring effectiveness and therefore encourage firms to engage in CSR. Furthermore, board independence is also positively correlated with CSR performance. Finally, CSR performance is positively correlated with firm's ROA.

1. Introduction

Corporate social responsibility (CSR hereafter) is probably one of the most significant corporate trends in the past few decades. Though its definition might vary, CSR generally refers to corporate actions that serve people, communities and the environment above and beyond what is legally required of a firm. It is not unusual to find that big firms have annual publications dedicated to CSR, or devote a significant section to CSR in their annual reports.

How is corporate governance related to CSR performance? There are two general views in related literatures. The first one indicates that well-governed firms tend to be socially responsible firms[1] so that CSR performance is positively correlated with shareholders' wealth.[2] This good governance view implies that shareholder value could incorporate stakeholder value (e.g., Deng et al., 2013; Yeh, 2019). Alternatively, CSR could be deemed as a manifestation of managerial agency problems inside the firm (Masulis and Reza, 2015). The agency view indicates that the managers engaging in CSR prioritize their own self-interests at the expense of their shareholders (Krueger, 2015). Moreover, the engagement in CSR activities is time-consuming and distracts managers from their core responsibilities (Jensen, 2001). The real cases might lie somewhere between the two rival perspectives: some CSR performance is the result of good governance, while others are driven by agency problems.

Outside developed countries such as the USA and the UK, the uptake of CSR is relatively slow in developing countries. Even

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[1] For example, some studies indicate that firms with better corporate governance (e.g., strong minority protection) engage in more corporate social responsibility (Ferrell et al., 2016); other studies link board composition/diversity to corporate environmental performance (Liu, 2018).

[2] An extensive body of literatures documents that CSR performance is associated with higher market valuation (Ferrell et al., 2016; Fernando et al., 2017) and better financial returns (Claessens et al., 2008; Cooper et al., 2010; Eccles et al., 2014).

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though its importance is growing, CSR is not a high priority in most developing countries. Since CSR is not mandatory for most developing countries, a good CSR climate requires a co-regulatory effort among government, firms, and civil society. Therefore, the government plays a key role in a firm's governance quality as well as in determining whether CSR could be integrated into the corporate sector. Since the state is a crucial factor regarding corporate governance and CSR performance, it is crucial to investigate the relation between the two within the contexts of the shared environment.

In this study, we investigate the relation between corporate governance and CSR performance in Taiwan. We elucidate why corporate governance is related to CSR performance: given that a firm's ownership dictates its organizational decision-making, motivation, and power (Hart and Moore, 1990) and that corporate social actions can be deemed as a form of "investment" (Mcwilliams and Siegel, 2000), the exploration of the relation between ownership structure and a firm's CSR performance is legitimate. Moreover, prior studies indicate that different owners[3] may have different objectives and decision-making horizons (e.g., Hoskisson et al., 2002). It is worthwhile to explore how different types of owners may affect the firm's social performance.

The reasons why the platform of Taiwan is appropriate for the investigated issue are elaborated as follows. First, Taiwan is often characterized as a small but open economy. The overall corporate governance structure in Taiwan is depicted as having relatively weak investor protections and weak equity investment (La Porta et al., 1997). Moreover, family plays a crucial role in corporate governance in Taiwan, as it oversees the development of a business from its inception and maintains control even after going public (Yeh, 2019). Thus, kinship, usually maintained through blood and marriage ties, is a key factor in a firm's general ownership, control and management (Yeh et al., 2001). Second, institutional ownership is low and the market of corporate control is inactive in general. According to a survey conducted by Solomon et al. (2003), the board of directors is the most important player in Taiwanese corporate governance. Furthermore, the survey also confirms the important role of outside directors. With the presence of outside directors, a firm's accountability could be substantially improved.

Specifically, we investigate how corporate governance from the perspective of inside and outside block holders affects a firm's CSR performance. Given the institutional setting and corporate governance practices[4] in Taiwan, we develop hypotheses primarily based on the agency problem. The empirical findings indicate that owners with hard-wired control over a firm, as manifested in CEO/chairman duality and family control, are less motivated to engage in CSR. Moreover, insiders, including large shareholders and directors with larger shares, are less motivated to engage in CSR. Nevertheless, the presence of outside block holders may help perpetuate effective monitoring as to enhance a firm's engagement in CSR. We illustrate the roles respectively played by independent directors, block outside shareholders.

Previous studies indicate that large external shareholders, such as domestic institutional investors and foreign institutional investors, can serve as active monitors (Ferreira and Matos, 2008). Their presence and shareholdings are positively related to a firm's CSR performance. Moreover, we examine how a firm's CSR performance is related to control entrenchment. We argue that controlling owners with entrenched control are less incentivized to engage in CSR. Our empirical results basically support the aforementioned argument.

Our CSR dataset provided by the Taiwan Economic Journal (TEJ) in the period of 2008–2015[5] comprehensively covers all rather than partially listed firms. The comprehensive coverage of all sample firms should be able to elicit findings contributing to the literature, and to mitigate the selection bias from large and representative firms. Our use of the CSR data in constructing a CSR index is similar to the Korean cases (e.g., Choi et al., 2010; Oh et al., 2011; Choi et al., 2013) and for the reason that CSR can be conceived differently in various countries representing localized and cultural values (Welford, 2005; Witt and Redding, 2012). Our CSR index covers 15 variables in three dimensions: society, environment, and employee.

We note that many prior studies use the KLD dataset (now MSCI ESG Research) as the indicator of a firm's CSR performance, due to its multifaceted nature in presenting a firm's overall corporate social performance. However, there are several concerns that need to be addressed. First, some facets of KLD are not readily accessible or require personal judgment. This results in selection bias for US large firms, and the selection bias is supposed to be large for emerging markets. Using an alternative data source for international CSR studies (Thomson Reuter's ASSET 4), El Ghoul et al. (2016) cover only 38 listed firms in Taiwan in their sample. Second, the composite scores, gathered from summing up scores in different facets of CSR, may raise concerns whether a good score on one dimension could compensate for a bad score on another dimension. Third, each CSR dimension consists of strength and concern. It is not clear whether overall CSR performance should take into account strengths, concerns, or the net of strengths and concerns. Our CSR performance index is constructed similarly to KLD. However, we intend to cover all rather than a portion of listed firms in Taiwan because all variables are accessible from the database of TEJ.[6] More importantly, we treat corporate governance as an independent variable in explaining a firm's CSR performance rather than as a facet of the CSR performance index in KLD. This

[3] Inside block shareholders having entrenched controlling power are less likely to engage in CSR investment. By contrast, outside block shareholders for transplanting their CSR belief (Dyck et al., 2019) and/or for a better monitoring would require the invested firms having higher involvement of CSR.

[4] In 2003 the government in Taiwan formed the Corporate Governance Reform Task under the Executive Yuan. Moreover, in order to cope with the agenda of promoting corporate governance, the government in Taiwan revised several legal acts or rules, including the Company Act, the Securities and Exchange Act, Corporate Governance Best-Practice Principles for TWSE/GTSM Listed Companies, listing rules and relevant regulations for the TWSE/GTSM. Moreover, the government also instituted the Securities and Futures Investor Protection Center for protecting minority shareholders' interests. The government also used Securities and Futures Institute (SFI) to give companies recognition with its evaluation on information disclosure. Like most Asian countries, the government in Taiwan takes the leading role of top-down reforms on corporate governance.

[5] We note that the CSR data of TEJ is much comprehensively provided starting from year 2008.

[6] The details of CSR performance covered in TEJ are summarized in Table 2.

postulation is based on the premise that corporate governance is a firm's superstructure that dictates its strategies in all dimensions, including CSR investment.

The empirical results are briefly summarized as follows. Controlling owners having entrenched control, as manifested in CEO/chairman duality and family control, are less inclined to engage in CSR. Moreover, inside block shareholders (including large shareholders and directors) with higher shareholding are also less motivated to engage in CSR. By contrast, outside block holders, including foreign institutional shareholders and domestic institutional shareholders, enhance monitoring effectiveness and therefore encourage firms to engage in CSR. Furthermore, board independence is also positively correlated with CSR performance. The positive relation between outside shareholders and CSR performance and the negative relation between inside shareholders and CSR performance are attenuated when the firm is family controlled and when the firm is in loss condition. Finally, CSR performance is positively correlated with firm's ROA.

The potential contributions of this study are multifold. First, we relate corporate governance to corporate social performance within the context of the Taiwanese environment. We believe that the Taiwan case is a typical exemplar for developing countries where corporate governance as well as corporate social responsibilities are still in development. Second, as argued by Waddock and Graves (1997), using only one social performance indicator may lead to failure at effectively and accurately appraising a company's CSR performance. They suggest the use of broader and multiple social performance indicators when measuring CSR. We construct the index of corporate social performance by using 15 variables from three dimensions: social, environment, and employee.

More importantly, we cover all listed firms regardless of the accessibility of their CSR reports. This substantially reduces selection bias associated with prior studies that use only a partial list of firms that issued CSR reports or survey techniques. Since our data cover not only the overall CSR performance score but also CSR performance scores in three subcategories, we can explore the impact of corporate governance on CSR performance and CSR performance in the three subcategories as well.

The rest of this paper is organized as follows. Section 2 reviews the related literature and develops testable hypotheses. Section 3 depicts the data and variables. Section 4 reports the empirical results. Section 5 concludes.

2. Literature review and hypothesis development

There are two competing perspectives regarding managerial incentives and motivations to engage in CSR activities. The positive perspective indicates that the engagement of CSR is for the purpose of satisfying stakeholders' needs, reducing potential regulatory and court costs, signaling ethicality to the capital market, increasing employee productivity (Heal, 2005), reducing the restrictions of external capital financing (El Ghoul et al., 2011), and reducing conflicts of interest among managers, shareholders, and other stakeholders (Cespa and Cestone, 2007). Alternatively, the negative perspective derived from agency theory (Jensen and Meckling, 1976) indicates that CSR activities is the manifestation of overinvestment in which managers pursue their private interests at the expense of shareholders (Barnea and Rubin, 2010). Quite a number of theories are used to explain a firm's CSR performance, including stakeholder theory (Freeman et al., 2010), signaling theory (Connelly et al., 2011a),[7] institutional theory, and agency theory.

In this study, we mainly use institutional theory to illustrate how the institutional setting of Taiwan affects a firm's CSR performance in general, and use the agency theory to develop hypotheses illustrating specifically how corporate governance structure, manifested in internal and outside shareholders, affects a firm's CSR performance.

2.1. The institutional setting and CSR activities in Taiwan

Due to the differences in institutional setting and the level of economic development (e.g., Baughn et al., 2007), the CSR practices in developing countries are not comparable to their counterparts in the developed world. Recently, there is a growing trend in investigating CSR performance-related issues in emerging markets. For example, El Ghoul et al. (2016) examined the publicly traded firms in nine East Asian economies and found that family control is positively related to lower CSR performance. Lee et al. (2018) find that product market competition is negatively correlated with a firm's CSR activities in Korea, implying that CSR activities represent managerial overinvestments rather than a competitive strategy. Li et al. (2010) investigated factors affecting CSR in Brazil, Russia, India, and China (BRIC) and found that the governance environment of a country is the most important driving force for the communication intensity about CSR. The studies indicate that a firm's CSR performance is crucially dictated by its institutional setting in emerging economies.

The institutional setting in Taiwan greatly affects the CSR practices adopted by its listed firms. Like other Asian countries, before 2005 CSR activities were largely assumed as one part of a firm's public relations, charitable undertakings, or simply activities conducted by its affiliated charity organizations. According to the 2005 CSR survey in Taiwan, Ip (2009) found that more than 80% of listed firms in Taiwan indicated that shareholders' rights and employees' rights are their top priority for taking on CSR. Moreover, honestly paying taxes (77.8%) and following ethical norms (76.7%) are the two clear manifests for firms pursuing CSR. At that time, only 18.2% of listed firms prepared CSR reports. Moreover, the internal communication on CSR was not efficient as expected. In addition to these facts, there are many examples that show CSR has not been pervasively adopted by local firms. For example, service

[7] Stakeholder theory indicates that CSR is a firm's strategic behaviors that maximize stakeholder benefits (Garriga and Melé, 2004). The signaling theory argues that firms in an information-asymmetric market could CSR investment as signals that help build reputation and reduce information asymmetry in the market (Connelly, Ketchen, and Slater, 2011).

for customer-satisfactions was not high; the practices of carbon reduction were not active[8]; and the understanding of water resource management was vague.[9]

Since 2005 (2007), the Global Views (Common Wealth) has held annual CSR contests.[10] The top three firms in each industry, or the top 20–50 firms across all industries, were then selected and publicized each year. CSR has gradually attracted public awareness, and has gradually transformed from a firm's ethical or charitable undertaking to its core product or service. Engaging in CSR has gradually been deemed a predictor of profitability.

Aiming at complying with international CSR practices, the Financial Supervisory Commission (FSC) in 2008 stipulated that public-offering firms need to disclose their social responsibilities, including environmentalism, social engagement, social contribution, consumer rights, human rights, and safety and sanitation. In 2010, the Financial Supervisory Commission (FSC) instructed the Taiwan Stock Exchange (TWSE) and Taipei Exchange (TPEx) to launch a "Corporate Social Responsibility Best Practice Principles for TWSE/TPEx-Listed Companies" and "Ethical Corporate Management Best Practice Principles for TWSE/TPEx-Listed Companies."

On top of these, the Financial Supervisory Commission (FSC) in 2014 mandated that listed companies in specific industries, i.e., food processing, chemical, and financial services, and those with paid-in capital above NT$10 billion are required to issue a standalone CSR report in accordance with GRI's G4 Guidelines. The standalone CSR report needs to be disclosed on the firm's official website and the Market Observation Post System (MOPS) before June every year.

The aforementioned actions briefly depict the historical milestones and timeline of regulation. As compared to the CSR situation prior to 2005, the survey conducted by Ip (2009) found that CSR in Taiwan has gradually lined up with international practices. For example, the number of listed firms included in DJSI (Dow Jones Sustainability Index, DJSI) was only one (Taiwan Semiconductor Manufacturing Company, TSMC) in 2001. The number increased to 13 in 2015. It is worthwhile to revisit CSR practices in Taiwan.

2.2. Ownership structure and CSR performance

There are numerous studies illustrating how ownership structure affects a firm's CSR performance. Institutional setting greatly affects a firm's CSR performance in general, and existing theories from advanced countries may be inappropriate to apply in emerging economies. Thus, we primarily focus on the review of related studies from developing economies.

Ghazali and Weetman (2006) investigated listed firms in Malaysia and found that the directors who hold a higher proportion of equity shares disclosed significantly less CSR information, while firms in which the government is a substantial shareholder disclosed significantly more CSR information in their annual reports. Oh et al. (2011) investigated 118 large Korean firms and found that ownership of institutions and foreign investors is positively correlated with a firm's CSR performance. In contrast, the shareholding of top managers is negatively associated with a firm's CSR performance.

Choi et al. (2013) investigated Korean firms and found that the negative relation between CSR ratings and the level of earnings management is weaker for Chaebol firms and firms with highly concentrated ownership. Moreover, the adverse use of CSR is discouraged if institutional investors hold a large portion of shareholding. Lee et al. (2018) investigated CSR practices in Korea and found that firms in more competitive product markets are less engaged in corporate social responsibility activities. If product market competition could serve a disciplinary role, the result is consistent with agency theory, indicating that CSR activities represents managerial overinvestments.

Moreover, the negative competition-CSR relation is more prominently found in firms with high free-cash flow and low managerial ownership. Li et al. (2010) investigated BRIC economies (Brazil, Russia, India, and China) and found that firms in rule-based societies, in the manufacturing industry, and with stronger corporate governance (e.g., high proportion of outside directors, separation of the roles of chairman and CEO) are more likely to communicate regarding CSR than their counterparts. Wang and Chen (2017) indicate that Chinese firms' engagement in CSR performance is mainly driven by the motive of attracting institutional investment. Qualified foreign institutional investors (QFIIs) favor firms doing well at saving energy. The aforementioned studies imply that internal versus outside block shareholders have different effects on a firm's CSR investment. We further develop hypotheses based on this scheme.

2.2.1. Internal shareholders and CSR performance

Even though CSR studies using the principal-agent theory (e.g. Jensen and Meckling, 1976) may indicate that top management tends to overinvest in CSR activities for the purpose of building reputations as good global citizens (Barnea and Rubin, 2010), the context for these studies is mainly the U.S. or the U.K. where the ownership structure is diverse and the agency problem primarily lies in the conflict between shareholders and managers. When the ownership structure of listed firms is dominated by controlling owners

[8] The laws air, water, and soil have been addressed since 1980s. More stringent standards for wasted water and air pollutants were applied in 2011. In 2015, the Greenhouse Gas Reduction Act was implemented, aiming at a subsequent reduction in greenhouse gas emission of 2% by 2020, 10% by 2025, and 20% by 2030. However, the current record shows a contradiction that the CO2 emission increased from 138.09 billion tons in 1990 to 293.12 billion tons in 2016, which was indebted to global warming and the growth of electricity for industries and livelihood.

[9] Taiwan faces a serious condition of water shortage in that the per capita annual precipitation is only one-seventh of the world average and only 18% rainfall can be used. Reservoir accounts for approximately 20% of water supply. Unfortunately, the sedimentation ratio of all reservoirs is about 30%, which is mainly caused by typhoon and seriously affect the function of reservoir for water supply and flood control.

[10] The two local private institutes regularly held CSR contests for voluntarily-disclosed listed and foreign firms. The contents of contests include corporate governance, social engagement, environmental protections, and business commitment. All firms are segregated into four groups: annual sales of more than 10 billion NTD, 5–10 billion NTD, below 5 billion NTD, and foreign firms. The top three firms in each industry, or the top 20–50 firms across all industries, were then selected and publicized each year.

who could be families or the government, the agency problem would shift to the conflict between controlling owners and minority shareholders.

Prior studies investigating the relationship between ownership and CSR produced mixed results.[11] However, the prior empirical findings from emerging markets, especially in Asian countries, mainly support the entrenchment hypothesis in explaining a firm's engagement in CSR.[12] Moreover, there is a growing trend for countries to make reporting of CSR mandatory.[13] Given the context of the Taiwanese environment, we assume that insiders are reluctant to engage in CSR investment, especially when they have a high portion of ownership.

We further discuss the possible factors that affect a firm's engagement in CSR given that insiders are reluctant to do so. First, we discuss the condition where CEOs are also the chairs of the board (i.e. CEO duality). CEO duality is likely to result in a concentration of power, managerial self-utility maximizing behavior (Dalton and Dalton, 2005), and CEO's excessive power over the decision-making process (Jensen, 1993) in cases of board composition and tenure, agenda-setting, information flow control, and resistance to managerial changeover despite performance decline or instability. Prior studies indicate that shareholders' interests are likely to be maltreated when the power of decision is centralized in a dominant personality. In addition, it is relatively difficult to replace a poorly performing CEO when he/she simultaneously chairs the board (e.g. Goyal and Park, 2002). Such duality makes it difficult and questionable for the CEO/chairman to exercise independent and conscientious self-evaluation (Petra, 2005).

How does CEO duality affect a firm's CSR performance? First of all, the board's monitoring role is weakened and the likelihood of fraud increases when the chair of the board also serves as the CEO (Lu et al., 2015). Second, while CSR is highly recognized in developed countries, it is not as pervasively perceived by shareholders in developing countries. In general, profit maximization plays the central role in the companies' continued existence, and that explains why managers have less incentive to pursue CSR activities. Third, a CEO who simultaneously chairs the board is well entrenched in power. His/her need for the instrumental value of CSR (Siegel, 2009) is reduced. Therefore, we expect that CEO/chairman duality is negatively correlated with CSR performance.

Hypothesis 1. CEO/chairman duality is negatively correlated with CSR performance.

The second issue is family control. Prior studies relating family control to corporate social performance could be ambivalent. The positive relation is mainly derived from the hypothesis that corporate social performance is a means of generating potentially useful goodwill or resources for later uses (Niehm et al., 2008). This perspective is congruent with the instrumental value of social responsibility (Siegel, 2009). Moreover, a controlling family who values reputation, prestige, and social-emotional wealth might be inclined to undertake corporate charities (e.g. Berrone et al., 2010). Finally, if family succession is of concern, family firms might be inclined to engage in socially responsible actions for maintaining family control, preempting litigation, legal challenges, and avoiding poor publicity that makes family succession more divisive and difficult (Sharma et al., 2003).

Alternatively, the negative association between family-controlled firms and corporate social performance might be derived from the concern that the family interests are more emphasized than the shareholders' interests (e.g. Schulze et al., 2001). From the agency problem perspective, controlling owners with higher shares in firms are reluctant to invest in CSR. Given our premise that controlling owners with higher shareholding in firms would have to bear higher costs of —and are therefore reluctant to invest in—CSR, we postulate that family control is negatively correlated with CSR performance ceteris paribus.

Hypothesis 2. Family control is negatively correlated with CSR performance.

The third issue is insiders' shareholding. Insiders are often large shareholders and directors. There are two potential effects governing how insiders' shareholding and CSR. From the entrenchment effect proposed by Demsetz (1983) and Fama and Jensen (1983), insiders with high ownership could pursue pro-CSR agendas more easily, implying that inside ownership is positively correlated with CSR performance. However, several prior studies indicate that inside ownership is negatively correlated with a firm's social performance (Coffey and Wang, 1998). Given the context of the Taiwanese environment, we assume that insiders with a high portion of ownership are reluctant to engage in CSR because they have to internalize the costs of CSR.

Hypothesis 3. Insiders' (directors and large shareholders) shareholding is negatively correlated with CSR performance.

Controlling owners can leverage their control over firms with minimal cash flow rights (ownership) when a deviation from the one share/one vote rule applies (La Porta et al., 1999; Claessens et al., 2000). The excessive-control wedge can illustrate a controlling owner's expropriation effects and can help capture the agency problem associated with the controlling shareholder. Claessens et al. (2002) find that firm value increases with the controlling owner's cash flow rights and decreases with an increase in the excessive-control wedge. Therefore, the excessive control wedge could be deemed as a proxy of controlling owner's expropriation effect. From

[11] Some found a positive relation (e.g., Kock et al., 2012), but others found a negative one (e.g., Oh et al., 2011). The positive relation is based on the interest-alignment hypothesis indicating firms with high insider ownership are positively correlated with CSR which enhances a firm's long-term value. This is so consistent with the prediction of good management theory (Waddock and Graves, 1997). In contrast, some argue that substantial ownership may induce entrenchment so that owners with significant ownership may engage in self-interest or even value-destroying activities at the expense of shareholders (Shleifer and Vishny, 1989).

[12] Wang and Chen (2017) investigated listed firms in China and found that firms with superior voluntary CSR performance are mainly for the purpose of attracting more institutional investment. Choi et al. (2013) investigated Korean listed firms and found that CSR practices could be abusively used by those firms that conceal their poor earnings quality.

[13] India enacted legislation to make CSR expenditure of 2% of net profits mandatory for all listed companies. China requires state-owned listed companies to undertake CSR expenditure as a part of their contract with the government.

the perspective of the agency problem, the excessive control wedge is expected to be positively correlated with a firm's CSR spending.

Hypothesis 4. The excessive control wedge is positively correlated with CSR performance.

2.2.2. Outside shareholders and CSR performance

Prior studies indicate three roles concerning the effects of institutional ownership on firm performance, including active monitoring, passive monitoring, and exploitation.[14] Recently, Dyck et al. (2019) investigated the impact of institutional ownership on a firm's environmental and social (E&S) performance across 41 countries. They note that financial and social returns are the main causes of the positive relationship between institutional ownership and a firm's environmental and social performance. In terms of financial returns, they find that institutional investors increase firms' E&S performance following shocks that reveal financial benefits to E&S improvements.

Regarding social returns, Dyck et al. (2019) find that institutional investors from countries with a strong community belief in the importance of E&S issues would increase firms' E&S performance. However, this is not the case for institutional investors from countries with a weak belief in E&S issues. The result indicates that institutional investors transplant their social norms of E&S issues around the world. Alternatively, from the perspective of product differentiation and insurance against event risk, institutional investors tend to ask their investee firms for an improvement on CSR performance (Servaes and Tamayo, 2013; Lins et al., 2017).

For the Taiwan case, we postulate a positive association between foreign institutional holdings and CSR performance. We make this hypothesis by borrowing the transplant argument proposed by Dyck et al. (2019), and Taiwan is categorized as regions with weaker policies in CSR (Welford, 2005) despite being highly exposed to globalization. Foreign investors from countries or regions with a strong belief in the importance of CSR would press their investee firms to improve CSR performance. For the relationship between domestic institutional shareholding and CSR performance, we also assume a positive relation either from the perspective of product differentiation or from the insurance effect (Servaes and Tamayo, 2013; Lins et al., 2017). Moreover, prior studies support the positive monitoring role of outside directors (Coffey and Fryxell, 1991; Cox et al., 2008). To sum up, our fourth hypothesis regarding outside block (including domestic and foreign institutional investors) shareholding is described as follows.

Hypothesis 5. Outside block (domestic and foreign institutional investors) shareholding is positively correlated with CSR performance.

2.3. Board Independence and CSR performance

Proponents of board independence indicate that it may raise the objectivity and effectiveness of boards. Independent directors have incentives to increase the effectiveness of board monitoring because their reputation and human capital value are tied to their judgment as decision control specialists. Therefore, their presence is associated with lower information asymmetry and better reporting (Htay et al., 2012), a higher level of corporate charitable giving (Post et al., 2011), more ethical reflection on the firm's activities (Ibrahim et al., 2003), and a reduction in agency cost (Kyereboah-Coleman and Biekpe, 2006). Moreover, board independence is positively correlated with voluntary disclosure (Cheng and Courtenay, 2006; Htay et al., 2012).

Conversely, Eng and Mak (2003) find that board composition significantly and negatively affects voluntary disclosure. The negative relation results from the barriers inhibiting the independent directors from positively influencing the majority of the board decisions. Allegrini and Greco (2013) reported similar findings of the negative relationship between board independence and CSR reporting.

However, some studies found that there is no significant relationship between board independence and CSR disclosures (e.g. Shamil et al., 2014). The insignificant relation, according to Michelon and Parbonetti (2012), is attributed to the fact that independent directors are elected to monitor and protect investors against managerial misbehavior, and CSR reporting might not be included as part of their agenda.

Although the relationship between board independence and CSR remains inconclusive in prior studies, we postulate the two are positively correlated. The reasons are elucidated as follows. Theoretically, one important function of boards of directors is to alleviate agency costs (Fama and Jensen, 1983). Independent directors are believed to have the responsibilities to enhance company transparency so that shareholders' interests could be protected (Michelon and Parbonetti, 2012). An increase in board independence creates a higher demand for voluntary disclosure to shareholders via better monitoring (Donnelly and Mulcahy, 2008).

We therefore hypothesize that board independence positively influences a firm's CSR performance. Empirically, the positive relation is more likely to be found in the studies of emerging markets, such as Hong Kong (Chau and Gray, 2010), Singapore (Cheng and Courtenay, 2006), Malaysia (Htay et al., 2012), and Kenya (Barako and Brown, 2008). We therefore expect Taiwan, as an

[14] The active monitoring view indicates that institutional investors supervise and monitor their investee firms, reducing information asymmetries, lowering agency problems and maximizing the shareholder value by virtue of their superior managerial skills and substantial resources (Shleifer and Vishny, 1986). Alternatively, the passive monitoring view suggests that institutional investors acting as passive monitors merely trade their shares to earn speculative short-term profits based on informational advantages (David and Kochhar, 1996) or to satisfy idiosyncratic portfolio needs (Elyasiani and Jia, 2010). Another exploitation view indicates that institutional investors cooperate with managers to exploit diverse minority shareholders. Nevertheless, the three perspectives are not mutually exclusive but one might play the dominant role in explaining the relationship between institutional ownership and performance (Elyasiani and Jia, 2010).

emerging market, to develop a positive relationship between board independence and CSR performance.

Hypothesis 6. Board independence is positively correlated with CSR performance.

3. Data and variables

Our sample consisting of listed firms in the Taiwan Stock Exchange in the period of 2008–2015 is collected from the Taiwan Economic Journal (TEJ), which is a data company in Taiwan. We exclude the financial firms because they are subject to different regulations.[15] The final sample consists of 11,439 firm-year observations. Table 1 reports the sample distribution with year-industry breakdown. The results show that electronic parts and components (1586) and semiconductors (1032) represent the two major industries that make up the sample. A broader inclusion of high-tech industry, including semiconductors, computer peripherals, optoelectronics, communication networks, electronic parts and components, electronic distribution, information services, and other electronics, shows that these industries make up 53.46% (6115/11,439) of the firm-year observations. High-tech industry has been a pillar of the economic development and the prosperity of Taiwan for the past four decades. The number of listed firms covered in the study has slightly increased from 1274 in 2008 to 1563 in 2015.

The dependent variable, CSR performance, refers to the autonomous and spontaneous response of business to social concerns regarding economic, legal, and ethical issues (Carroll, 1979). Waddock and Graves (1997) suggested that using only one social performance indicator in earlier empirical studies is unable to effectively and accurately appraise a company's CSR performance. In 1990, Kinder, Lydenberg and Domini & Co. Inc. (KLD) were the first scholars to establish the CSR selection criteria. They dissected the CSR performance into seven dimensions: community relations, employee relations, diversity, environment, product quality, governance and transparency, and human rights. Moreover, Crifo and Forget (2015) refer to the standards proposed by the European Commission in 2011, and the CSR performance covers the dimensions of law, society, environment, ethics, human rights, and consumers.

In reference to the aforementioned classifications, we construct an index from the module of Corporate Social Responsibility compiled by TEJ. Our case is similar to KLD in the U.S. and the Corporate Social Responsibility index (CSRI) in Korea. Specifically, TEJ provides CSR performance measures in eight dimensions, including organizational governance (including CSR disclosure), human rights (including underemployment of disadvantaged people), community involvement and development (including donation), fair operating practices (including the record of illegality), environment (including carbon emission), consumer issues (including ISO certification, MIT certification, foods GMP certification, medicine GMP certification, and green mark), labor practices (including employee turnover, employee education, pension per employee, profit sharing, and salary difference between top managers and others), and diversity (including the portion of female directors in board).

In reference to Choi and Aguilera (2009), Kim et al. (2013), and El Ghoul et al. (2016), we select 15 items and classify them into three dimensions: social (including donation, underemployment of disadvantaged people, CSR disclosure, and record of illegality), environment (including ISO certification, MIT certification, carbon emissions, food GMP certification, medicine GMP certification, and green mark), and employment (including employee turnover, employee education, pension per employee, profit-sharing, and salary difference between top managers and others). As to diversity that includes the number of female directors on the board, we include it as a control variable because board gender diversity may be a cause rather than an effect of CSR.

Among the 15 items, 6 items are dichotomous, such as donations,[16] CSR disclosure, MIT certification, food GMP certification, medicine GMP certification, and green mark. The rest 9 items are continuous and therefore assigned the rank score from 0.1–1.0.[17] Specifically, the variables that are positively correlated with corporate social performance and are continuous in nature are sorted into deciles and are assigned the rank score of 1 for firms in the top decile and 0.1 in the bottom decile. For example, firms in the top decile of profit sharing are assigned the rank score of 1 and 0.1 for firms in the bottom decile. In contrast, firms are assigned the rank score of 1 in the bottom decile of employee turnover and 0.1 in the top decile.

Variables that are dichotomous in nature are assigned the value 1 for the characteristics favoring corporate social responsibility and 0 otherwise. For example, firms that are voluntarily disclose CSR reports are assigned the value 1 and 0 otherwise. Finally, following Ioannou and Serafeim (2012) and El Ghoul et al. (2016), CSR performance is obtained by the average score of the 15 variables comprising the CSR performance index. The CSR performance in the three subcategories is calculated similarly. We note that the variables that are inappropriate to be included into the calculation of CSR performance index or firms with missing data are treated as void rather than 0. In so doing, the CSR performance index is less likely to be affected by industry-specific issues or missing

[15] First, financial firms are subject to strict regulations that are not equally applicable to other industries. Second, financial firms in general adopt the Equator Principles (EPs) for determining, assessing and managing environmental and social risk in projects. It is primarily intended to provide a minimum standard for due diligence and monitoring to support responsible risk decision-making. Third, financial firms were on the first thrust of being required by the government a mandatory preparation of CSR reports. We assume that financial firms serve as the early movers for promoting CSR practices to other industries and therefore are excluded from the analysis.

[16] The reason why donation is dichotomous is primarily due to the fact that there is only a small portion of firms showing records of donations. Take the case of donation for example, among the sample consisting of 11,439 firm-year observations, only 218 firm-year observations are associated with records of cash donations. Of course, there are donations in-kind but the firms fail to reveal equivalent dollar amount.

[17] Only the 9 continuous items are decile measures in the range between 0.1 and 1. Their means are around 0.5. We note that the data of underemployment of disadvantaged people in 2008–2010 period are labeled as NA. We therefore only focus on the data of 2011–2015. There are 2132 firm-year observations are underemployment of disadvantage people. The rest of 7485 firm-year observations are not.

Table 1
Sample distribution.

Industry	2008	2009	2010	2011	2012	2013	2014	2015	Total
Cement	7	7	7	7	7	7	7	7	56
Food	24	24	24	25	26	27	27	27	204
Plastic	25	25	25	27	27	28	27	28	212
Textile	53	54	54	55	56	56	56	57	441
Electronic machinery	72	72	76	79	82	85	88	90	644
Electronic cable	15	15	16	16	17	17	17	17	130
Glass & ceramics	4	4	4	5	5	5	5	5	37
Paper	7	7	7	7	7	7	7	7	56
Iron	39	39	40	41	41	42	43	43	328
Rubber	11	11	11	11	11	12	12	12	91
Automobile	5	5	6	6	6	6	6	7	47
Construction	68	68	70	70	71	71	71	71	560
Transportation	24	25	25	26	27	28	28	28	211
Tourism	18	20	22	24	27	28	33	34	206
General merchandise	22	22	22	25	28	30	30	30	209
Others	70	72	76	85	87	89	96	98	673
Chemistry	38	38	38	38	40	40	40	42	314
Biomedical	55	63	69	83	89	95	98	102	654
Utility	12	12	12	12	12	12	12	12	96
Semiconductor	113	118	123	127	131	134	142	144	1032
Computer peripherals	95	100	102	103	105	107	107	107	826
Optoelectronics	93	99	107	113	115	118	121	123	889
Communication network	69	74	77	79	81	83	87	88	638
Electronic parts & components	187	190	195	197	201	203	206	207	1586
Electronic distribution	36	36	36	36	36	36	36	36	288
Information services	29	29	33	33	34	35	36	36	265
Other electronics	70	71	72	73	75	75	77	78	591
Cultural innovation	12	14	15	17	19	20	22	24	143
Other manufacturing	1	1	1	1	2	2	2	2	12
Total	1274	1315	1365	1421	1465	1498	1539	1563	11,439

This table reports the sample distribution with year-industry breakdown. Our sample includes listed firms in the Taiwan Stock Exchange in the period of 2008–2015. We exclude the financial firms because they are subject to different regulations. The final sample consists of 11,439 firm-year observations.

data. The detailed definitions for variables constructing CSR performance are summarized in Table 2.

In Table 3, we report the CSR performance with industry breakdown in Panel A and year breakdown in Panel B. The result in Panel A shows that the glass & ceramics industry (0.456) and other manufacturing (0.429) are the first two industries exhibiting the highest CSR performance. A further comparison among the three subcategories of CSR performance shows that the average CSR performance gains the highest scores in the social subcategory (0.428), followed by the employee subcategory (0.396), and the least in the environment subcategory (0.065). The fact that firms display higher concern for social and employee issues is consistent with Ip (2009). Ip (2009) found that more than 80% listed firms in Taiwan as well as in other Asian emerging economies[18] assume that other than taxpaying and following ethic norms, shareholders' rights and employees' rights are their top priorities in CSR.

By contrast, environmental issues have not been widely noted until recently.[19] This is why the environmental score is the lowest among the three subcategories. Nevertheless, CSR awareness has increased and CSR regulations have become more extensive over time. In Panel B, we find that the CSR scores exhibit an increase throughout the sampling period. The listed firms exhibited the highest CSR performance scores in 2014 (0.358) but the lowest in 2008 (0.264).

In Table 4, we report the summary statistics of these variables. The first variable is CEO/chairman duality (D_duality) that is assigned the value 1 when a CEO simultaneously chairs the board, and 0 otherwise. On average, 32% of the firm-year observations are associated with CEO/chair duality.[20] The second variable is family control (D_family) that is assigned the value 1 under the condition where the firm is predominantly controlled by a family, and 0 otherwise.[21] Prior studies illustrate that family control may be positively correlated with CSR performance (e.g. Niehm et al., 2008; Siegel, 2009; Berrone et al., 2010; Sharma et al., 2003).

[18] Wang et al. (2016) indicate that firms in developed countries may face stronger expectations on environmental responsibility, while firms in developing countries may target their efforts toward social development goals.

[19] Listed firms have been required to disclose information regarding sustainable environment development since 2010.

[20] The percentage is higher than that of Malaysia (14%, Ahmad et al., 2017) but much lower than that of Egypt (61%, Samaha et al., 2012), Italy (41%, Allegrini and Greco, 2013) and Bangladesh (46%, Rashid, 2013).

[21] Family control in prior literature is identified when the founder or a member of his or her family by either blood or marriage serves as an officer, director or block holder in the company (Villalonga and Amit, 2006). We refer to the definition from TEJ database, which identifies family firms as when the largest controlling shareholder is a family group and at least two family members are involved in the board of directors or senior management.

Table 2
Construction of CSR performance.

Item	Definition
Social dimension	
Donation	In each industry, all firm-year observations having donation are assigned the value 1 and 0 otherwise.
Underemployment of disadvantaged people	In each industry, all firm-year observations are sorted into deciles based on the ratio of underemployment of disadvantaged people. Firm-year observations are assigned the rank score of 1 in the lowest decile and 0.1 in the top decile.
CSR disclosure	In each industry, all firm-year observations that voluntarily disclose CSR reports are assigned the value 1 and 0 otherwise.
Illegality	In each industry, all firm-year observations without illegal records are assigned the value 1 and 0 otherwise. According to TEJ, illegality is recognized when a firm is involved in disaster, collective protest, strike, environment pollution or other fundamental events that result in major damage, legally enforced termination of business, or penalty of more than one million NTD.
Environment dimension	
ISO certification	In each industry, all firm-year observations with ISO certification of 2015 are given the value 1, and the value of 2 to the certification of 2014, and so on. The reason of so doing is to illustrate that firms obtaining ISO certification in earlier years are more environmentally cautious than firms obtaining ISO certification in the latter years. All firms are sorted into deciles based on their summed value of ISO certification. Firm-year observations are assigned the rank score of 1 in the top decile, and 0.1 in the lowest decile.
MIT certification	In each industry, all firm-year observations having Made-in-Taiwan (MIT) certification are assigned the value 1 and 0 otherwise.
Carbon emission	In each industry, all firm-year observations are sorted into deciles based on the amount of carbon emission. Firm-year observations are assigned the rank score of 1 in the lowest decile and 0.1 in the top decile.
Foods GMP certification	In each industry, all firm-year observations having the Foods Good Manufacturing Practice (GMP) are assigned the value 1 and 0 otherwise.
Medicine GMP certification	In each industry, all firm-year observations having the Medicine Good Manufacturing Practice (GMP) are assigned the value 1 and 0 otherwise.
Green mark	In each industry, all firm-year observations having received the green mark are assigned the value 1 and 0 otherwise.
Employee dimension	
Employee turnover	In each industry, all firm-year observations are sorted into deciles based on employee turnover. Firm-year observations are assigned the rank score of 1 in the lowest and are assigned the rank score of 0.1 in the top decile.
Employee education	In each industry, all firm-year observations are sorted into deciles based on weighted average of education of employees (doctoral degree = 4, master = 3, bachelor = 2, junior and below = 1). Firm-year observations are assigned the rank score of 1 in the top decile and 0.1 in the lowest decile.
Benefit	In each industry, all firm-year observations are sorted into deciles based on benefit (including bonus, pension and subsidy) per employee. Firm-year observations are assigned the rank score of the rank score of 1 in the top decile and 0.1 in the lowest decile.
Profit sharing	In each industry, all firm-year observations are sorted into deciles based on profit sharing per employee. Firm-year observations are assigned the rank score of 1 in the top decile and 0.1 in the lowest decile.
Salary difference	In each industry, all firm-year observations are sorted into deciles based on the multiple of salary difference between top managers and the other employees. Firm-year observations are assigned the rank score of 1 in the lowest decile and 0.1 in the top decile.

This table reports the construction of CSR performance. The CSR performance index is constructed from the module of Corporate Social Responsibility compiled by TEJ. The construction is similar to KLD in the U.S. and the Corporate Social Responsibility index (CSRI) in Korea. Specifically, TEJ provides CSR performance measures in eight dimensions, including organizational governance, human rights, community involvement and development, fair operating practices, environment, consumer issues, labor practices, and diversity. In reference to Choi and Aguilera (2009), Kim et al. (2013), and El Ghoul et al. (2016), we select 15 items and classify them into three dimensions: social (including organizational governance, human rights, community involvement and development, and fair operating practices), environment (including environment and consumer issues), and employment (including labor practices). Among the 15 items, 6 items are dichotomous, such as donation, CSR disclosure, MIT certification, foods GMP certification, medicine GMP certification, and green mark. The other 9 items are continuous and therefore assigned the rank score from 0.1 to 1.0. Specifically, variables that are positively correlated with corporate social performance and are continuous in nature are sorted into deciles and are assigned the rank score of 1 for firms in the top decile and 0.1 in the bottom decile. For example, firms in the top decile of the profit sharing are assigned the rank score of 1 and 0.1 for firms in the bottom decile. By contrast, firms are assigned the rank score of 1 in the bottom decile of employee turnover and 0.1 in the top decile. Finally, CSR performance is obtained by average scores from the 15 items.

Alternatively, family control may be negatively correlated with CSR performance (e.g. Schulze et al., 2001).

In our sample, 62% of the firm-year observations are under family control. This percentage is somewhat lower than 75.96% estimated by Yeh et al. (2001). Nevertheless, the results correspond with the fact that family control is a prevalent phenomenon for most listed firms around the world (e.g. La Porta et al., 1999; Claessens et al., 2000).

We include internal shareholders, including large shareholders (Large_share) and directors (Director_share), in the analysis. Prior studies indicated that insiders may pursue pro-CSR agendas from the entrenchment perspective (Demsetz, 1983; Fama and Jensen, 1983). The average large shareholders' holding is 21.54%, and the average directors' holding is 24.38%. In contrast to internal shareholders, we include two outside block shareholders in our examination: domestic institutional shareholders[22] and foreign

Table 3
Distribution of CSR performance.

Panel A: Industry breakdown

Industry	CSR performance	CSR performance$_{_social}$	CSR performanace$_{_environment}$	CSR performance$_{_employee}$
Cement	0.351	0.351	0.277	0.403
Food	0.365	0.445	0.149	0.429
Plastic	0.326	0.410	0.109	0.430
Textile	0.320	0.416	0.086	0.433
Electronic machinery	0.311	0.439	0.073	0.403
Electronic cable	0.350	0.413	0.177	0.438
Glass & ceramics	0.456	0.561	0.353	0.478
Paper	0.375	0.450	0.221	0.448
Iron	0.348	0.426	0.174	0.390
Rubber	0.391	0.421	0.178	0.448
Automobile	0.344	0.602	0.169	0.343
Construction	0.325	0.430	0.036	0.416
Transportation	0.356	0.456	0.062	0.394
Tourism	0.321	0.425	0.019	0.361
General merchandise	0.286	0.443	0.034	0.367
Others	0.298	0.448	0.054	0.377
Chemistry	0.343	0.462	0.094	0.398
Biomedical	0.298	0.429	0.025	0.360
Utility	0.369	0.391	0.083	0.404
Semiconductor	0.315	0.424	0.053	0.389
Computer peripherals	0.305	0.428	0.058	0.408
Optoelectronics	0.289	0.428	0.050	0.373
Communication network	0.325	0.428	0.067	0.400
Electronic parts & components	0.316	0.419	0.046	0.397
Electronic distribution	0.321	0.393	0.031	0.439
Information services	0.340	0.430	0.025	0.394
Other electronics	0.300	0.420	0.058	0.402
Cultural innovation	0.338	0.408	0.057	0.339
Other manufacturing	0.429	0.438	0.667	0.370
Total	0.318	0.428	0.065	0.396

Panel B: yearly breakdown

Year	CSR performance	CSR performance$_{_social}$	CSR performanace$_{_environment}$	CSR performance$_{_employee}$
2008	0.264	0.324	0.063	0.361
2009	0.306	0.324	0.062	0.454
2010	0.3	0.323	0.048	0.45
2011	0.347	0.443	0.062	0.458
2012	0.349	0.457	0.065	0.449
2013	0.333	0.486	0.075	0.38
2014	0.358	0.52	0.076	0.412
2015	0.275	0.508	0.069	0.223
Total	0.318	0.428	0.065	0.396

This table reports the CSR performance with industry breakdown in Panel A and year breakdown in Panel B. CSR performance denotes the score of corporate social performance compiled from 15 variables described in Table 2. CSR performance$_{_social}$ is the CSR performance score in the social-related dimension that is composed by 4 variables described in Table 2. CSR performance$_{_environment}$ is the CSR performance score in the environment-related dimension that is composed by 6 environment-related variables. CSR performance$_{_employee}$ is the CSR performance score in the employee-related dimension that is composed by 5 variables described in Table 2.

institutional shareholders (Domestic_share and Foreign_share). Prior studies indicate that outside block directors would enhance monitoring effectiveness that includes social responsibility (Bear et al., 2010; Coffey and Wang, 1998). Moreover, Woidtke (2002) notes that public institutions may be more concerned with social issues than maximizing the value of their portfolios. On average, domestic institutional investors hold 16.44% of the shareholding and foreign institutional investors hold 9.53% of the shareholding.

The final variable in this research is the excessive control wedge, which is measured by the difference between controlling owner's control rights and his/her cash flow rights. In this case, the agency problem may be aggravated with the increase of the excessive-control wedge (Claessens et al., 2002). From the agency perspective of CSR, the controlling shareholders can use their majority voting rights to expropriate minority shareholders by approving CSR projects that benefit only themselves. Therefore, a positive association between CSR and the control wedge is expected under the agency view.[23] On average, the excessive-control wedge is 6.32%.

[22] The domestic institutional shareholders denote those who do not serve as directors.

Table 4
Summary statistics.

Variable	No.	Mean	S.D	Q1	Median	Q3
D_duality	11,431	0.32	0.47	0.00	0.00	1.00
D_family	11,437	0.62	0.49	0.00	1.00	1.00
Director_share (%)	11,439	24.38	15.59	12.94	20.33	31.80
Large_share (%)	11,439	21.54	12.39	12.81	19.14	27.62
Control wedge (%)	11,439	6.32	11.16	0.28	1.62	6.27
Domestic_share (%)	11,422	16.44	22.94	0.06	13.30	31.15
Foreign_share (%)	11,406	9.53	15.39	0.40	3.26	10.79
Indep_dir	11,439	1.43	1.26	0.00	2.00	2.00
Female_dir	11,439	1.11	1.06	0.00	1.00	2.00
Board_size	11,439	9.35	2.26	8.00	9.00	10.00
ROA	11,435	3.72	10.81	0.65	4.27	8.39
Ln(Age)	11,408	3.09	0.63	2.77	3.18	3.56
Ln(Size)	11,439	6.61	0.64	6.18	6.52	6.97
Ln(Turnover)	10,592	1.96	0.51	1.66	2.02	2.33
Export (%)	11,300	55.22	37.60	13.61	65.82	91.15
CSR performance	11,439	0.318	0.089	0.254	0.309	0.375
CSR performance$_{social}$	11,439	0.428	0.137	0.333	0.472	0.500
CSR performance$_{environment}$	11,439	0.065	0.133	0.000	0.000	0.050
CSR performance$_{employee}$	11,439	0.396	0.164	0.280	0.400	0.500

This table reports the summary statistics of variables. D_duality is a dummy that is assigned the value 1 when CEO simultaneously chairs the board and 0 otherwise. D_family is a dummy that is assigned the value 1 when the firm is ultimately controlled by a family and 0 otherwise. Director_share denotes the total shareholding of directors. Large_share denotes the total shareholding of large shareholders. Control wedge is the difference between the controlling owner's voting rights and his/her cash flow rights. Domestic_share denotes the total shareholding of domestic institutional shareholders. Foreign_share denotes the total shareholding of foreign institutional shareholders. Indep_dir is the number of independent directors in the board. Female_dir denotes the number of female directors in the board. Board_size is the number of board membership. ROA denotes return on assets. Age denotes the firm's years of age since inception. Size is firm's assets at the yearend. Turnover denotes the ratio of total trading volume to outstanding shares. P/E denotes the ratio of price and earnings per share. Export denotes the percentage of export sales to total sales. CSR performance denotes the score of corporate social performance compiled from 15 variables described in Table 2. CSR performance$_{social}$ is the CSR performance score in the social-related dimension that is composed by 4 variables described in Table 2. CSR performance$_{environment}$ is the CSR performance score in the environment-related dimension that is composed by 6 environment-related variables. CSR performance$_{employee}$ is the CSR performance score in the employee-related dimension that is composed by 5 variables described in Table 2.

Board independence (Indep_dir) is measured by the number of independent directors on the board. Board independence is assumed to be positively correlated with CSR performance because independent directors supposedly take the responsibility of monitoring, including the domain of corporate social activities such as charitable giving (Post et al., 2011) and ethical reflection on the company's activities (Ibrahim et al., 2003). In general, the boards of listed firms consist of two independent directors.

As for the control variable, we firstly include the number of female directors (Femal_dir). Bernardi and Threadgill (2010) indicate a positive association between the number of female directors on boards and the incidence of corporate social behavior including charitable giving, community involvement, and outside recognition of employee benefits. In general, there is only one female director on a board in our sampling firms.

Moreover, we include the board size (Board_size), the number of board members, as one of the control variables. Firms with larger boards are likely to gain great benefits from board diversity, which leads to relatively ideal CSR practices (Bear et al., 2010; Coffey and Wang, 1998). The median of board size is 9. We also include profitability in the analysis. According to Khan (2010), profitability is a vital factor regarding the companies' dissemination of social information. We use ROA (e.g. Rashid, 2015) as the proxy for profitability.[24] The mean value of ROA is 3.72%. The second variable is firm's age, which is measured by the number of months since inception, expressed as a natural logarithm. The mean value of the natural logarithm of a firm's age is 3.09.

The next control variable is firm size. Prior studies indicate that large firms engage in more CSR activities due to resource availability since they are able to afford the costs of CSR, which generates positive publicity in the long term (e.g., Lu and Abeysekera, 2014). We use the natural logarithm of total assets as the proxy for firm size (Size), as proposed by Das et al. (2015). The mean value of the natural logarithm of firm size is 6.61. Turnover is used to serve as a proxy of managerial capability which is assumed to be positively correlated with CSR performance. The average natural logarithm of the stock turnover is 1.96.

Many studies investigate the relation between CSR and financial performance and conclude that firms pursue profit maximizing

[23] This argument seems inconsistent with Hypotheses 1–3 that postulate a negative impact on firm's CSR performance. One possible reconciliation among these postulations is that insiders when having a firmly control over the firm either through CEO/chairman duality, family control, or having high insider shareholding, are reluctant to overspend on CSR partly because they have to internalize the costs of CSR expenditure and partly because they are not so sure whether such CSR spending is beneficial to a firm's financial performance. However, when excessive control wedge emerges, controlling owners have an inclination to overspend on CSR if they only assume a limited portion of CSR spending while enjoying the CSR projects that benefit only themselves.

[24] Alternatively, we also use EPS as the proxy. The empirical results of using EPS are qualitatively similar to those of using ROA.

Table 5
Test in difference.

	High CSR performance		Low CSR performance		Test in difference	
	Mean	Median	Mean	Median	t	z
D_duality	0.298	0.000	0.335	0.000	−4.277***	−4.270***
D_family	0.620	1.000	0.621	1.000	−0.159	−0.159
Director_share	23.997	20.070	24.742	20.605	−2.556***	−2.910***
Large_share	21.080	19.070	21.988	19.210	−3.932***	−2.291***
Control wedge	6.417	1.580	6.228	1.650	0.906	−0.840
Domestic_share	18.158	15.000	14.806	11.530	7.820***	7.894***
Foreign_share	9.520	3.920	9.541	2.590	−0.073	−7.429***
Indep_dir	1.354	2.000	1.506	2.000	−6.483***	−6.426***
Female_dir	1.110	1.000	1.113	1.000	−0.167	−0.726
Board_size	9.500	9.000	9.201	9.000	7.078***	5.509***
ROA	4.510	5.100	3.567	4.424	3.244***	5.537***
Ln(Age)	3.221	3.296	2.971	3.091	21.636***	20.479***
Ln(Size)	6.729	6.658	6.505	6.432	19.049***	18.602***
Ln(Turnover)	1.927	1.976	2.001	2.058	−7.411***	−8.512***
Export	55.36	65.96	55.07	65.66	0.402	−0.619

This table reports test in differences in means and medians of variables between firms with high CSR performance and low CSR performance. The classification between high and low CSR performance is based on the sample median. All other variables are defined in Table 4. ***, ** and * denote the significance level of 1%, 5% and 10%, respectively.

CSR (e.g., Garcia-Castro et al., 2010; Servaes and Tamayo, 2013). However, Margolis et al. (2009) conduct a meta-analysis of 251 cases to look into the relation between corporate social performance and financial performance. They conclude that the relation is positive but insignificant: corporate social performance appears not to penalize companies financially nor impair their economic functioning. The less-clear conclusion might be related to the types of performance measures used in the examination. We use ROA as the proxy of financial performance measure.

The average CSR performance using 15 variables in three dimensions is 0.318. The average CSR performance for the social, environmental, and employee subcategories are 0.428, 0.065, and 0.396, respectively.

4. Empirical results

Table 5 reports the results of test in differences of variables between firms characterized as having high CSR performance and firms being characterized as having low CSR performance. The classification of high versus low CSR performance is based on the sample median of CSR. The results show that high CSR performance firms are associated with lower percentage of CEO/chairman duality (29.8%) than low CSR performance firms (33.5%). This is consistent with the prediction of Hypothesis 1, implying that CEOs with entrenched power are less incentivized to engage in CSR activities. Hypothesis 2 predicts that family control is negatively correlated with CSR performance. However, the empirical result from univariate analysis fails to illustrate significance.

We juxtapose inside and outside block holders to examine their impact on a firm's CSR performance. The results show that inside block shareholders, including large shareholders and directors, are reluctant to engage in CSR. The average directors' shareholding (23.997%) and large shareholding (21.08%) for high-CSR firms are significantly lower than those (24.742% and 21.988%) for low-CSR firms. The negative relation between inside shareholding and CSR performance is consistent with the prediction of Hypothesis 3 as well as the prior studies (e.g. Coffey and Wang, 1998).

Furthermore, Hypothesis 4 predicts that control wedge is positively correlated with CSR performance, indicating that controlling owners with a high level of control wedge are more likely to engage in CSR activities. However, the empirical result from the univariate analysis fails to illustrate significance.

Hypothesis 5 predicts that the shareholding of outsiders, including domestic institutional shareholders and foreign block shareholders, is positively correlated with CSR performance. The empirical result shows that the median domestic institutional shareholding (15%) and median foreign institutional shareholding (3.92%) for high-CSR firms are significantly higher than those (11.53% and 2.59%) for low-CSR firms. The result is consistent with Hypothesis 5, which indicates that outside block investors help raise social responsibility (Bear et al., 2010; Coffey and Wang, 1998). These outside block investors help facilitate effective monitoring.

Finally, Hypothesis 6 predicts that board independence is positively correlated with CSR performance. However, the univariate result illustrates the contradiction: firms with high CSR performance are associated with lower board independence (1.354 independent directors on average) than firms with low CSR performance (1.506). The negative relation is consistent with prior studies (e.g. Eng and Mak, 2003; Allegrini and Greco, 2013). However, some prior studies find a positive relation (e.g. Cheng and Courtenay, 2006; Barako and Brown, 2008; Chau and Gray, 2010), and some find no significant relation (e.g. Shamil et al., 2014).

As indicated by Daily and Dalton (2003), more ideas, information, and resources are available to a firm when its board has access to different people and perspectives. Board diversity could be measured by demographics such as gender, age, ethnicity, nationality, educational background, industrial experience and organizational membership (e.g., Campbell and Minguez-Vera, 2008). In this

Table 6
Regression of CSR performance on corporate governance:panel regression.

	(1)	(2)	(3)	(4)
Constant	−2017.9***	−2029.1***	−1950.5***	−1969.6***
	(−38.267)	(−37.920)	(−35.711)	(−35.455)
D_duality	−0.333*			−0.303
	(−1.786)			(−1.620)
D_family	−0.672**			−0.591**
	(−2.387)			(−2.092)
Director_share		0.002		0.003
		(0.197)		(0.319)
Large_share		−0.025***		−0.023**
		(−2.711)		(−2.436)
Control wedge		0.020*		0.019
		(1.722)		(1.608)
Domestic_share		0.018***		0.015**
		(2.714)		(2.340)
Foreign_share		−0.011		−0.012
		(−1.319)		(−1.360)
Indep_dir			0.370***	0.363***
			(4.361)	(4.278)
Female_dir	−0.118	−0.123	−0.111	−0.087
	(−1.240)	(−1.292)	(−1.159)	(−0.914)
Board_size	0.144***	0.137***	0.123**	0.085
	(2.702)	(2.582)	(2.288)	(1.573)
ROA	−0.003	−0.004	−0.004	−0.004
	(−0.785)	(−0.876)	(−0.914)	(−0.965)
Loss	−0.846***	−0.867***	−0.855***	−0.859***
	(−4.995)	(−5.102)	(−5.050)	(−5.057)
Ln(Age)	1.770***	1.698***	2.001***	2.021***
	(7.720)	(6.941)	(8.401)	(7.961)
Ln(Size)	2.827***	2.651***	2.843***	2.681***
	(12.321)	(10.301)	(12.402)	(10.391)
Ln(Turnover)	−1.109***	−1.130***	−1.091***	−1.122***
	(−7.284)	(−7.270)	(−7.171)	(−7.218)
Export	0.002	0.002	0.001	0.001
	(0.461)	(0.650)	(0.243)	(0.360)
Year FE	Yes	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes	Yes
adj. R^2	0.196	0.198	0.192	0.199

This table reports the regression of CSR performance on corporate governance. The sample is composed of 11,439 firm-year observations over the period of 2008–2015. All variables are defined in Table 4. All regressions include year and industry fixed effects. Robust t-statistics adjusted for clustering by year and industry are reported in parentheses. All of the VIF values are smaller than 3. ***, ** and * denote the significance level of 1%, 5% and 10%, respectively.

aspect, firms with more female directors are supposedly associated with higher CSR performance. In fact, Bernardi and Threadgill (2010) find a positive association between the number of female directors and the incidences of corporate social behavior, including charitable giving, community involvement, and outside recognition of employee benefits.

Moreover, large board size suggests board diversity because firms with large board size are associated with more versatile performances in expertise and more perspectives that mobilize resources for optimal utilization than those with smaller board size. The univariate result shows that high-CSR firms are associated with more board members (9.50) than low-CSR firms (9.20).

For the control variables included in the analysis, we find that firms with high CSR performance are associated with higher ROA, larger size and age, and lower turnover than firms with low-CSR performance. This is consistent with prior studies on firms with higher profitability (e.g., Khan, 2010), larger size and with more abundant resources (e.g., Lu and Abeysekera, 2014), and growth potential that exhibits greater information asymmetry and higher agency costs (Eng and Mak, 2003) are more likely to engage in CSR.

In Table 6, we report the results of panel regression, in which the yearly and industry fixed effects are controlled. In the first regression, we only include board structure and other control variables. We find that CEO/duality and family-control dummy are negatively correlated with CSR performance. The negative relation between CEO/duality and family-control dummy can be explained as the CEOs with entrenched power are reluctant to engage in CSR, which might be costly and consume more firm resources. Hypothesis 1 and 2 are supported herein.

In the second equation, we only include variables of ownership structure and other control variables in our investigation. We find that large shareholders' shareholding is negatively correlated with CSR performance. However, directors' shareholding is insignificant. Therefore, Hypothesis 3 is partially supported, indicating that insiders, especially those with larger shareholding, are reluctant to engage in costly CSR. The control wedge is positively correlated with CSR performance, supporting Hypothesis 4 that excess control wedge is an agency of controlling owner's entrenchment and possible expropriation of minority shareholders. By contrast, domestic institutional shareholding is positively correlated with CSR performance. However, foreign institutional shareholding is

insignificant. Therefore, Hypothesis 5 is partially supported, suggesting that outside block shareholding, especially domestic institutional shareholding, helps improve a firm's monitoring function and therefore its engagement in CSR.

In the third equation, we only include variables of board independence and other control variables in the investigation. We note that board independence is positively correlated with CSR performance,[25] which supports Hypothesis 6. The positive association between board independence and CSR performance implies that the monitoring effectiveness is enhanced by board independence.

In the fourth equation, we include both variables of board structure and ownership structure. The result shows that most variables are significant and consistent with prior findings. The only two exceptions are duality and control wedge. Their signs in regression coefficients are as expected but insignificant. We also examine the variance inflation factor (VIF) to quantify the severity of multicollinearity by including all the variables in the regression. All of the VIF values are smaller than 3, implying that the concern of multicollinearity is not severe. As for the control variables, we find that age and size are positively correlated with, while turnover is negatively correlated with, CSR performance. Finally, we include a loss dummy (i.e. negative EPS) into regression and find that this dummy is negatively correlated with CSR performance.

In Table 7, we further investigate how corporate governance affects a firm's CSR performance in the three subcategories: employee, social, and environment. The result shows that family firms are reluctant to engage in environment-related and employee-related CSR performance (Hypothesis 2). Moreover, control wedge is positively correlated with social-related and employee-related CSR (Hypothesis 4).

We find that the positive relation between outside block shareholding and CSR performance (Hypothesis 5) is salient in the relation between domestic institutional shareholding and employee-related CSR, and the relation between foreign institutional shareholding and social-related CSR. However, we find that foreign institutional shareholding is negatively correlated with employee-related CSR. The negative relation between inside block shareholding and CSR performance is less significant for each CSR subcategory. Furthermore, board independence is positively correlated with social-related and environment-related CSR performance and negatively correlated with employee-related CSR performance (Hypothesis 6).

Finally, we include export ratio as a proxy of foreign pressure. The foreign pressure hypothesis illustrated by Chiou and Shu (2019) indicate that firms confronting foreign pressure from their customers in developed or high-CSR countries would enhance their CSR performance. Firms with a higher export ratio especially to developed countries would engage in more CSR activities (Newman et al., 2018). We find that export ratio is positively correlated with environment-related CSR, implying that firms with a higher export ratio are more environmentally sensitive and more willing to engage in environmental CSR initiative than firms without.

Nevertheless, there are cases where the impacts of corporate governance on the three subcategories of CSR performance are inconsistent. We mainly focus on two obvious inconsistencies: both foreign institutional shareholding and board independence have positive impact on social-related CSR, while negative impact on employee-related CSR. We postulate three possible explanations for such inconsistency. First, it could be case that social-CSR initiative is less costly or associated with higher reputation incentive (e.g. Eugene and Fama, 1980) than employee-CSR initiative. Second, for enhancing external social ties,[26] independent directors and/or foreign investors prefer social-CSR initiative to employee-CSR initiative. Third, to mitigate litigation risk,[27] independent directors might prefer social-CSR initiative than employee-CSR initiative.[28]

In Table 8, we explore possible moderating effects on the relation between inside/outside block holding and CSR performance. In Panel A, we explore how family control dummy moderates the relation. The result shows that, given that domestic institutional shareholding is positively correlated with CSR, the interaction between family control and domestic institutional shareholding (Family*Domestic) is negatively correlated with CSR performance. This implies that the monitoring function of domestic institutional shareholders in pushing firms to have higher CSR performance is somewhat suppressed when the firm is controlled by a family. Moreover, in model (2) we find that the suppression effect of family control also happens to the positive relation between foreign institutional shareholding and CSR performance. In model (4), the interaction between family control and directors' shareholding (Family*Director) is negatively correlated with CSR performance. Therefore, family control suppresses the expected positive relation between outside block shareholders and CSR performance, and further reinforces inside blockholders' reluctance to engage in CSR activities.

In Panel B, we explore the moderating effect of loss dummy, being defined as when the firm's net income is negative. Chan et al. (2017) indicate that firms facing financial constraints are reluctant to engage in any CSR activities. The exploration aims at

[25] For board independence, the result from univariate analysis is different from that from multivariate analysis. To ensure that the relation between board independence and CSR performance is not affected by some omitted variables, we further conduct propensity score matching (PSM) approach in which firm's attributes are mostly controlled. The result from PSM (unreported and will be provided upon request) further verifies that board independence is positively correlated with CSR performance.

[26] Kim, Park and Lee (2018) investigated the CSR activities in Korean firms and found that the positive association between CSR activities and firm value is weaker for the firms with strong social ties, implying that there is room for firms to improve board independence substantively in a society where nepotism is ubiquitous. Taiwan and Korea are similar in this aspect as they share a long history of Confucianism and nepotism.

[27] For example, Brochet and Srinivasan (2014) note that about 11% of independent directors were named as defendants in securities class-action lawsuits from 1996 to 2010. The likelihood of being named as defendants is greater for audit committee members and directors who sell stock during the class period. Ever since the Sarbanes-Oxley Act (SOX) in 2002, the litigation risk associated with directors has increased (Laux, 2010). The litigation risk would result in the possibility of personal financial and reputational harm, lost time and emotional distress.

[28] According to the revealed information from the Securities and Futures Investors Protection Center (https://www.sfipc.org.tw/MainWeb/Index.aspx?L=2), 48 out of 92 class action lawsuits up to January 2019 are related to financial misrepresentation. Among these cases, 14 independent directors are defendants with joint liability of US $176 million.

Table 7
Regression of CSR performance in three subcategories on corporate governance:panel regression.

	CSR performance$_{social}$	CSR performance$_{environment}$	CSR performance$_{employee}$
Constan	−6301.2***	−473.0***	3380.0***
	(−64.213)	(−8.751)	(28.722)
D_duality	−0.224	−0.186	−0.524
	(−0.742)	(−1.114)	(−1.344)
D_family	−0.130	−0.736**	−1.903***
	(−0.365)	(−2.018)	(−3.526)
Director_share	−0.002	0.007	−0.003
	(−0.128)	(0.827)	(−0.202)
Large_share	−0.011	−0.014	−0.024
	(−0.738)	(−1.611)	(−1.233)
Control wedge	0.030*	0.010	0.046**
	(1.805)	(0.791)	(1.971)
Domestic_share	−0.001	0.009	0.061***
	(−0.087)	(1.455)	(4.536)
Foreign_share	0.031***	0.011	−0.129***
	(2.576)	(1.204)	(−7.555)
Indep_dir	0.724***	0.566***	−1.264***
	(5.442)	(7.279)	(−7.198)
Female_dir	−0.038	−0.153*	0.261
	(−0.266)	(−1.678)	(1.339)
Board_size	−0.141*	0.001	0.310***
	(−1.840)	(0.026)	(2.865)
ROA	−0.018**	−0.006	0.043***
	(−2.183)	(−1.593)	(4.524)
Loss	−0.475	0.064	−3.062***
	(−1.575)	(0.449)	(−8.418)
Ln(Age)	0.770**	1.433***	3.700***
	(2.342)	(3.939)	(7.598)
Ln(Size)	2.299***	1.980***	0.129
	(6.678)	(6.266)	(0.256)
Ln(Turnover)	−2.905***	−0.645***	2.322***
	(−10.686)	(−4.879)	(7.010)
Export	−0.001	0.008**	0.003
	(−0.296)	(2.043)	(0.472)
Year FE	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes
adj. R^2	0.317	0.105	0.129

This table reports the regression of CSR performance in three subcategories on corporate governance. The sample is composed of 11,439 firm-year observations over the period of 2008–2015. All variables are defined in Table 4. All regressions include year and industry fixed effects. Robust t-statistics adjusted for clustering by year and industry are reported in parentheses. All of the VIF values are smaller than 3. ***, ** and * denote the significance level of 1%, 5% and 10%, respectively.

uncovering how the expected positive outside-CSR relation and the expected negative inside-CSR relation are affected when firms are experiencing loss. The result in model (1) and (2) shows that given the negative relation between loss dummy and CSR performance, the expected positive relation between outside block shareholding and CSR performance is negatively moderated by the loss dummy. That is, the monitoring function of outside block holders in requiring a firm to have higher CSR performance is restrained when the firm is at a loss. By contrast, the interaction between loss dummy and large shareholding (Loss*Large) is significantly positive. That is, even though large shareholders are reluctant to invest more in CSR, they might be incentivized to engage in CSR, which provides an insurance-like mechanism (Godfrey et al., 2009) for firms confronting losses.

5. Robustness checks

In this section, we conduct numerous robustness checks. For brevity, we only excerpt the main results. The detailed empirical results will be provided upon request. First, the relation between relation between CSR performance and financial performance remains inconclusive[29] and is subject to the concern of endogeneity. We use 3SLS model with the lag-one industry average ROA as the instrument variable. The results show that ROA and CSR performance are positively correlated. Moreover, Hypothesis 1 and 2 are

[29] For example, Griffin and Mahon (1997) reviewed 51 studies discussing the relationship between CSR performance and a firm's financial performance in three decades and found that some are positive, some are negative, and still others are neutral. Other than Griffin and Mahon (1997) the positive direction of the relationship had also been empirically proven by Waddock and Graves (1997), Claessens et al. (2008), Cooper et al. (2010), and Eccles et al. (2014). Negative result was supported by Wright and Ferris (1997). Inconclusive result has been supported by Moore (2001).

Table 8
Regressions with interaction effects.

Panel A: Family control

	(1)	(2)	(3)	(4)
Constant	−1945.1***	−1949.1***	−1944.5***	−1945.3***
	(−28.067)	(−28.125)	(−28.043)	(−28.077)
D_duality	−0.569***	−0.572***	−0.574***	−0.564***
	(−3.429)	(−3.447)	(−3.454)	(−3.397)
Director_share	0.001	0.002	0.002	0.017**
	(0.226)	(0.310)	(0.249)	(2.269)
Large_share	−0.074***	−0.073***	−0.067***	−0.072***
	(−9.125)	(−9.046)	(−6.749)	(−8.961)
Control wedge	0.004	0.002	0.003	0.001
	(0.470)	(0.294)	(0.318)	(0.132)
Domestic_share	0.041***	0.027***	0.028***	0.026***
	(6.258)	(4.976)	(5.141)	(4.885)
Foreign_share	−0.007	0.014*	−0.006	−0.006
	(−1.079)	(1.686)	(−0.944)	(−0.949)
Indep_dir	0.075	0.078	0.086	0.093
	(1.046)	(1.092)	(1.205)	(1.304)
Female_dir	−0.220***	−0.209***	−0.220***	−0.215***
	(−2.991)	(−2.839)	(−2.991)	(−2.924)
Board_size	0.193***	0.195***	0.191***	0.181***
	(5.187)	(5.237)	(5.107)	(4.855)
Family*Domestic	−0.021***			
	(−3.336)			
Family*Foreign		−0.033***		
		(−3.785)		
Family*Large			−0.011	
			(−1.625)	
Family*Director				−0.024***
				(−4.106)
ROA	0.008	0.009*	0.008	0.008
	(1.594)	(1.649)	(1.600)	(1.559)
Ln(Age)	1.995***	1.953***	1.984***	1.998***
	(12.384)	(12.143)	(12.299)	(12.410)
Ln(Size)	2.807***	2.836***	2.822***	2.868***
	(16.996)	(17.146)	(17.013)	(17.281)
Ln(Turnover)	−1.297***	−1.288***	−1.284***	−1.283***
	(−7.654)	(−7.606)	(−7.575)	(−7.574)
Export	0.005**	0.005**	0.005**	0.005**
	(2.298)	(2.313)	(2.302)	(2.308)
Year FE	Yes	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes	Yes
adj. R^2	0.203	0.203	0.202	0.204

Panel B: Loss dummy

	(1)	(2)	(3)	(4)
Constant	−1934.7***	−1935.17***	−1939.3***	−1933.9***
	(−28.672)	(−28.709)	(−28.727)	(−28.636)
D_duality	−0.565***	−0.567***	−0.579***	−0.563***
	(−3.511)	(−3.524)	(−3.603)	(−3.501)
D_family	−0.483***	−0.503***	−0.488***	−0.487***
	(−3.006)	(−3.129)	(−3.034)	(−3.026)
Director_share	0.000	0.000	−0.001	−0.003
	(0.017)	(0.018)	(−0.126)	(−0.373)
Large_share	−0.073***	−0.074***	−0.084***	−0.074***
	(−9.704)	(−9.822)	(−9.986)	(−9.892)
Control wedge	0.004	0.004	0.002	0.004
	(0.474)	(0.500)	(0.257)	(0.428)
Domestic_share	0.030***	0.026***	0.026***	0.026***
	(5.511)	(5.121)	(5.164)	(5.146)
Foreign_share	−0.008	−0.001	−0.006	−0.007
	(−1.259)	(−0.196)	(−0.985)	(−1.076)
Indep_dir	0.084	0.082	0.083	0.083
	(1.139)	(1.115)	(1.126)	(1.129)
Female_dir	−0.213***	−0.208***	−0.201***	−0.211***

(*continued on next page*)

Table 8 (*continued*)

Panel B: Loss dummy

	(1)	(2)	(3)	(4)
	(−3.016)	(−2.943)	(−2.829)	(−2.981)
Board_size	0.178***	0.178***	0.175***	0.179***
	(4.070)	(4.058)	(4.002)	(4.075)
Loss*Domestic	−0.019**			
	(−1.978)			
Loss*Foreign		−0.045***		
		(−3.143)		
Loss*Large			0.039***	
			(3.020)	
Loss*Director				0.010
				(0.857)
Loss	−0.752***	−0.633***	−1.713***	−1.142***
	(−4.108)	(−3.251)	(−5.353)	(−3.563)
ROA	0.001	0.001	0.002	0.001
	(0.125)	(0.223)	(0.310)	(0.234)
Ln(Age)	2.006***	2.031***	1.984***	2.000***
	(12.138)	(12.216)	(11.974)	(12.084)
Ln(Size)	2.757***	2.750***	2.777***	2.761***
	(14.999)	(14.952)	(15.076)	(14.990)
Ln(Turnover)	−1.385***	−1.374***	−1.373***	−1.387***
	(−7.854)	(−7.795)	(−7.787)	(−7.858)
Export	0.006***	0.006***	0.005***	0.006***
	(2.826)	(2.796)	(2.637)	(2.756)
Year FE	Yes	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes	Yes
adj. R^2	0.205	0.205	0.205	0.205

This table reports the regression with an additional inclusion of the moderating effect of family control (Panel A) and loss dummy (Panel B) on the relation between inside/outside blockholding and CSR performance. ***, ** and * denote the significance level of 1%, 5% and 10%, respectively.

supported, indicating CEO/chair duality and family control are both negatively correlated with CSR performance. Hypothesis 3 and 5 are partially supported. Specifically, domestic institutional shareholding is negatively correlated, while large shareholders' shareholding is negatively correlated, with CSR performance. Hypothesis 4 and 6 receive less supported herein.

Another endogenous concern is found in the development of Hypothesis 5, indicating that outside block holders are included to have better CSR performance. According to resource dependency theory, firms in need of institutional investments are more likely to pursue better CSR performance for attracting institutional investors; whereas firms that rely on internal funding (from insider blockholding) are less motivated to pursue CSR performance. We adopt 2SLS by using the lag-one industry average of domestic institutional shareholding as the instrument variable. The fitted value of domestic institutional shareholding from the first-stage regression is subsequently included in the second-stage regression. The overall result from 2SLS remains qualitatively similar.

Third, to ensure that the treatment and control firms are similar in firm characteristics we employ a propensity score matching approach in which CEO/chairman duality, ROA, age, and turnover are controlled. The result yields a matching sample of 3974 pairs. We further conduct regression using PSM sample. The result basically supports our agency postulation that firm's CSR performance is negatively correlated with large shareholding, while is positively correlated with board independence, domestic institutional shareholding and foreign institutional shareholding. The export ratio is positively correlated with CSR performance, supporting the foreign pressure hypothesis (Chiou and Shu, 2019).

Fourth, we segregate the sample into two subsamples: with and without seasoned equity offerings (SEOs) taking place in year t or t + 1, and conduct regressions with respect to the two subsamples. If the resource dependence theory holds, the positive relation between institutional holding and CSR performance would only be significant for the subsample of firms with SEOs in year t or t + 1. For firms without SEOs, the need of having high CSR performance to attract external financing is low and therefore the positive relation between CSR performance and institutional holding is less significant. In an unreported regression result shows that the regression coefficient of institutional holding is only significant for the subsample of firms without but insignificant for the subsample of firms with SEOs in year t or t + 1. This contradicts the prediction of the resource dependency theory.

Finally, for the empirical test using the panel dataset, we control for industry fixed effect in the regression analysis. It could be the case that some sub-groups of industries, rather the control of industry fixed effect, could yield interesting patterns. In an unreported result, we further segregate the sample by industry subgroups (electronics-related and non-electronics-related). The result shows that that both domestic block shareholding and export ratio are significantly positively correlated with CSR performance for firms in electronic-related industries, but not for firms in non-electronics-related industries. The results further support the foreign pressure hypothesis in the sense that a firm's CSR activities are affected by large customers from developed nations with well-established CSR practices.

6. Concluding remarks

Because CSR takes into account stakeholder value in addition to shareholder value, it is generally integrated as part of the good governance perspectives. However, the CSR expenditure is a form of cash diversion; it may also be considered as an agency problem. The debate has never ended because CSR practices vary across countries and boundaries of a firm.

In this study, we explore how corporate governance is related to corporate social performance. Specifically, we illustrate the role of inside and outside block shareholders. The empirical results from 11,439 firm-year observations of listed firms in Taiwan in the sampling period of 2008–2015 indicate that a firm's engagement in CSR depends partially on the agency problem. Specifically, when owners have control entrenched in the first place, such as CEO/chairman duality and family control, they are less inclined to engage in CSR. Further, insiders, including large shareholders and directors with higher shareholding are less motivated to engage in CSR. By contrast, outside block holders, including foreign domestic institutional shareholders and domestic institutional shareholders, are able to perpetuate effective monitoring and therefore motivate firms to engage in CSR. Finally, we find that CSR performance is positively correlated with a firm's financial performance.

Our findings suggest that CSR performance can be driven by personal utility considerations. Moreover, insiders may internalize the costs of CSR expenditures and then reduce CSR spending when their ownership stakes increase, when their control of the firm has been entrenched. The evidence found in the study leads to several policy implications for the improvement of corporate social responsibility. First, even though governments are assumed to deal with market failures and externalities, they might not play a similar role in CSR due to the largely voluntary nature of CSR and the limited role that governments can play in promoting non-intrusive and soft-law approaches. Corporate social performance via the engagement of public goods from the private sectors could be central in preserving social welfare while compensating for the deficiency owing to the limited role that government can play. Second, we find that insiders with large shareholding or entrenched control are reluctant to expend funds on CSR. This may result from their myopia or concern regarding uncertainty of CSR undertaking and firm's performance. By contrast, external block holders may help increase CSR performance.

Since internal block holders are passive in CSR performance, government can be more involved and collaborate with private industries in promoting social objectives. For example, the UK government serving as the front runner collaborated with private industries to address and to put it the top priority of the unemployment issue in 1980s, a time when unemployment and social unrest were high. We would suggest that governmental endeavors could focus on the development of legislation and regulation in facilitating employee-firm relationships, maintaining health and safety standards in workplaces, preventing discrimination…etc. The ability of government providing a framework for regulation and the means by which to monitor compliance could possibly improve CSR standards and encourage large and small companies to improve their performance.

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